BOC GASES
A Member of The Linde Group

UNAUDITED GROUP RESULTS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2015

The Directors of BOC Kenya Limited are pleased to announce the unaudited Group results for the six-month period ended 30 June 201

Summarised consolidated income statement
For the six-month period ended 30 June 2015

	2015 KShs '000	2014 KShs '000
Revenue	556,529	674,982
Earnings before finance income and taxes	77,763	89,439
Net finance income	26,008	33,420
Exchange Gains/(Losses)	(10,521)	4,532
Profit before tax	93,250	127,391
Income tax expense	(28,106)	(41,770)
Profit for the year	65,144	85,621
Basic earnings per share	3.34	4.39

Dividend for the period		
Interim	Kshs 2.20	Kshs 2.20

Summarised consolidated statement of financial position
As at 30 June 2015

	2015 KShs '000	2014 KShs '000
ASSETS		
Non-current assets	1,047,703	1,074,376
Current assets	1,184,195	1,360,991
Total assets	2,231,898	2,435,367
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,361,316	1,332,444
Capital and other reserves	234,927	390,256
Total equity	1,693,870	1,820,327
Non-current liabilities	-	5,538
Current liabilities	538,028	609,502
Total liabilities	538,028	615,040
Total equity and liabilities	2,231,898	2,435,367

Summarised consolidated statement of cash flows
For the six-month period ended 30 June 2015

	2015 Kshs'000	2014 Kshs'000
Cash generated from operations	96,786	88,007
Interest & Dividends received	26,143	33,420
Tax paid	(13,295)	(64,165)
Net cash from operating activities	109,634	57,262
Cash used in investing activities	(225,650)	(33,887)
Cash used in financing activities (Dividends paid)	(58,576)	-
Increase/(Decrease) in cash and cash equivalents	(174,592)	23,375
Cash & cash equivalents:		
At beginning of the period	478,158	697,921
Net(decrease) / increase	(174,592)	23,375
Effect of exchange rates	(13,436)	(1,414)
At the end of the period	290,130	719,882

Summarised consolidated statement of changes in equity
For the six-month period ended 30 June 2015

	2015 Kshs'000	2014 Kshs'000
At 1 January	1,747,188	2,076,060
Net profit for the period	65,144	85,621
Change in available for sale financial assets	(51,975)	(352,688)
Translation differences	(7,914)	11,334
Dividends paid	(58,576)	-
At 30 June	1,693,867	1,820,327

Results overview

Revenue for the six-month period ended 30 June 2015 is Kshs.556.5 million, down 18% from prior year due to cheap imports of oxyge and nitrogen, which also constrained the Company's ability to recover cost increases through pricing.

Profit after tax is 24% down due to rationalization of product pricing to retain market share, exchange losses arising from th depreciation of Kenya, Uganda and Tanzania shillings, increased provisioning for bad and doubtful debts and accelerated depreciatio charges.

The financial statements have been prepared on the basis of the same accounting policies as in the previous audited accounts.

Outlook for the remainder of the year

The Board expects that the enhanced working capital management and sales and marketing activities currently underway and th easing of electricity costs will result in markedly improved financial performance in the second half of the year. In the meantime prio years' investments in cylinders and renewal of the distribution fleet are having a beneficial impact on the Group's results.

The Board of Directors have taken measures to safeguard shareholder value by ensuring the Company operations reflect a high level o efficiency and productivity and is able to provide value-add sales propositions to customers in light of an increasingly commoditize gases and welding product market environment.

Interim dividend

The Board of directors has declared an interim dividend of Kshs 2.20 per share for the six-months ended 30 June 2015 (2014, Kshs. 2.20), to be paid out on or around 2 October 2015 to shareholders on the register at close of business on 11 September 2015.

BY ORDER OF THE BOARD

RUTH NGOBI
COMPANY SECRETARY
BOC KENYA LIMITED

14 August 2015